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THE GRAAS RETAIL COMMERCE INDEX · 02

The conversation is easy. Context is hard.

Why AI is failing in Retail Commerce

In the **Graas Retail Commerce Index** (published Aug 2026), 36 of 100 enterprises were evaluating AI. Seven had something live.

Commerce has moved from **clicks to conversation** - on WhatsApp, on a call, in chat on your own storefront. Understanding what someone said is solved. Knowing whether it is true for this buyer, this week, at this depot, is not.

A chatbot answers. An agent commits.

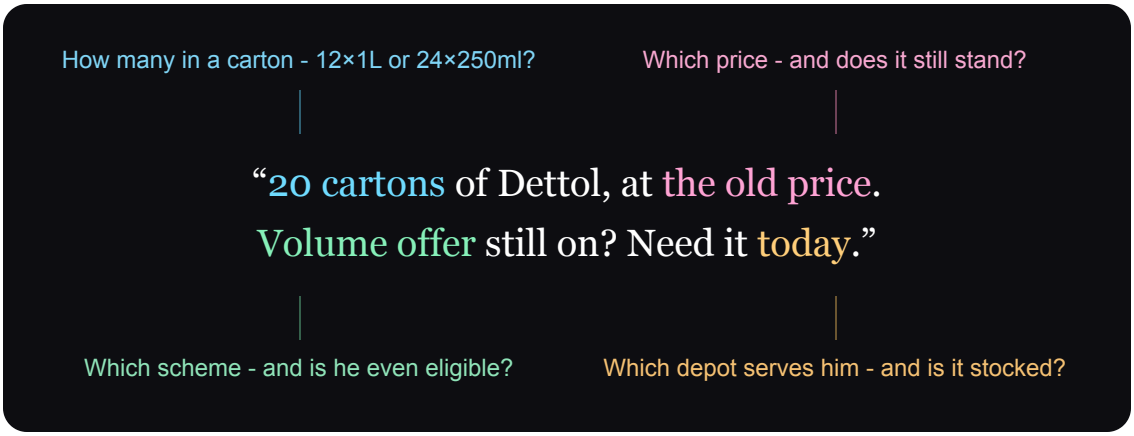
A wrong chatbot answer is a poor experience. A wrong agent answer is an unprofitable discount, the wrong SKU on a truck, or a promise the depot cannot keep - because an agent commits to a price, a quantity, a delivery date, an order in your ERP. Sounding right isn't enough. It has to be right.

The problem isn't language. It's context. The models (OpenAI, Gemini, Claude, DeepSeek or whatever else) are fine. But nobody buying or selling says what the models are trained on. They use slang, market lingo and nicknames, abbreviate pack sizes, refer to "my last purchase", and want delivery "fast" (when the depot may not have the goods till next week). The machine has to reconstruct every word from multiple systems that have historically explained nothing.

Below are examples from across the retail chain: how customers actually ask, and what a machine needs to understand before it can answer.

General Trade

Distributors, wholesalers, retailers - and the sales agents and field force who serve them.



Four questions inside one sentence. The answers sit in four places: the ERP, the promotion calendar, this month’s scheme in an Excel file, and the WMS. The agent reaches one of them - so it escalates to a human, or it guesses.

	THE BUYER MEANT	THE AGENT GUESSED
“carton”	12×1L, his usual	24×250ml, never
“old price”	Aug promo, now ended	Quoted wrong Aug price
“volume offer”	8%, from 25 cartons	Applied at 20
“today”	Same-day delivery	Promised it anyway

TOP 3 USE CASES

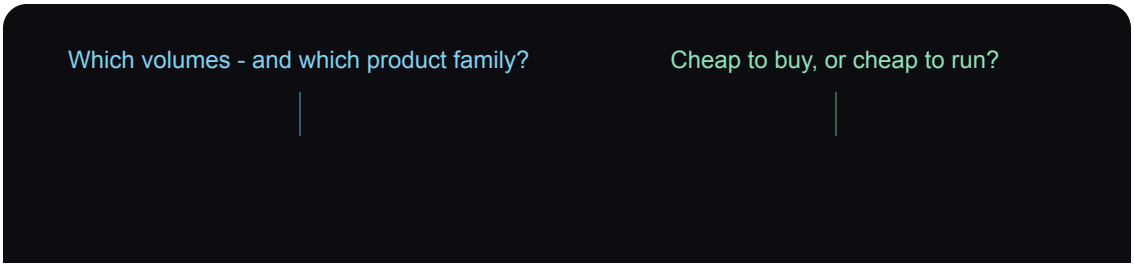
1. **Order capture and confirmation**
2. **Price, scheme and credit checked as the order is placed**
3. **Reorder reminders based on past orders**

PI Industries takes orders from a conversation. **Schneider** takes them by voice. Both work because the systems behind the conversation are connected.

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eCommerce

Brand storefront and marketplace storefronts.



"I'm setting up a small business.
Need a cheap printer."

Which of forty models - and is it in stock near them?

Chat is quietly replacing the search box (on websites and apps) and the landing page (for ads). A shopper who used to filter by category now describes the job instead - and a catalogue search hands back a longer list rather than a decision.

> **TOP 3 USE CASES**
>
> **1 Guided discovery in place of filters**
>
> **2 AEO (answer engine optimisation) - being the answer when shoppers ask an AI, not a search box**
>
> **3 Routing to the store or dealer that actually has it**

Canon India's ad campaigns now land on a chatbot that guides users through products and configurations - something a landing page could not do. **Ask it something your own catalogue would struggle with.**

Modern Trade

Large format organised retail, with single or multi-brand catalogues.

Which of her sizes - and did she already rebuy?

Is it in stock at the store she actually visits?

"Nudge Priya - her usual refill is due,
it's in stock at her store, and her points expire Friday."

Which offer is she eligible for - and is this nudge too soon?

A nudge (email, WhatsApp, in-app) has to be right about all four things at once. Get one wrong and you have messaged a loyal customer about a product she bought last week, at a store that doesn't stock it.

> **TOP 3 USE CASES**

1. **Intelligent nudges - the right customer, product and moment**
2. **Inward-facing analytics so goods arrive just in time**
3. **Fill rate and substitutions answered on the spot**

Takeaways

Retrieval finds what looks similar. Commerce needs what's actually true. It can't know that *Dettol* in a WhatsApp message, *DETTOL LIQ 1L* in the ERP and item code 4471 in the WMS are one product. It can't know what holds right now, when stock moves hourly and schemes expire on the 31st. And it can't know whether a rule applies to this buyer. So it returns the most plausible-looking answer, with complete confidence.

Wrong answers cost more than no answer. A confidently wrong reply to a distributor or a category buyer doesn't just lose that order. It erodes trust and wastes their time. They will not return for a sub-par experience.

Context is the missing layer. It reconciles the ERP, WMS, DMS, loyalty system and spreadsheets: it resolves the nickname to the SKU, holds the live state, and carries the rules that decide what applies to whom. It is the difference between an agent that escalates and one that answers - yes, at this price, from this depot, today.

The stack exists.
Context does not.

See what a Context layer looks like in production →

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